

tric, water and telephone companies speedily restored their securities to favor.

It is to three of these services, *viz.*, gas, electric and telephone, that the utility investments of savings banks are restricted by the New York statute. We have remarked previously (Chap. 8) that this category may properly be widened to include companies supplying water to communities of substantial size.

*Pseudo-Utilities.* But in the heyday of public-utility-bond flotations, this popular label was used by banking houses to promote the sale of many issues which partook only partially at best of the true character of public utilities and which may well be stigmatized as "pseudo-utilities." Companies selling ice, operating taxicabs or owning cold-storage plants became suddenly "affected with a public interest" to an extent permitting them to bond themselves for the major portion of their property investment and to sell these bonds to investors as public-utility securities. In most instances the enterprises so financed represented a combination of small gas, electric or telephone establishments with the ice or cold-storage business, in such a way as to confuse or mislead the public as to the true nature of the investment offered. An outstanding and unfortunate precedent for this hybrid form of organization was set many years ago by the Cities Service Company, which combined a large bona fide publicutility network with an equally large venture in the production, refining, and marketing of oil.

*Natural Gas.* The period preceding the 1929 crash was marked also by the sudden transmutation of natural gas from a branch of the oil industry into "one of the country's leading public utilities." Up to that time, natural gas had been used mainly as industrial fuel and as raw material for the production of gasolines and carbon black. Improvements in pipe-line construction permitted the transport of this gas over long distances to urban centers where it replaced considerable quantities of manufactured gas. Promoters and banking houses were quick to exploit the popular appeal of this new "utility"; and by the use of this designation an enormous total of natural-gas bond financing was successfully foisted on the public. As in the case of the ice plants, considerable recourse was had to the device of combining a natural-gas development with small bona fide utility properties. In many cases, the sale of these bonds under the guise of public-utility investments was a gross abuse of the public confi-